# Warren E. Buffett
## 1930–

As a youngster, the billionaire investor was said to have discovered money like "Mozart discovered music." Warren Buffett operated two paper routes, retrieved golf balls and resold them, and then later graduated to managing pinball machines in the local barbershops, among other endeavors. Born and raised in Omaha, he has chosen to remain there even after all the success. A colleague once pointed out the advantage: "Warren's kept his perspective clear by living in Omaha, away from it all, and looking at what's important rather than what's urgent or fashionable." His well-grounded philosophy is the result of having worked as an analyst under the conservative Benjamin Graham, the undisputed father of modern securities analysis.

After a two-year apprenticeship with Graham, Buffett returned to Omaha and set up his own investment partnership with $100,000. Some 30 years later, Omaha was reputed to have 52 "Buffett millionaires." For all his conservatism, Buffett did something radical in 1969: He simply dissolved the partnership in the midst of a bull market. He believed that the entire market was overpriced, and no stock winners could be found or held. At that time, he also admitted, "My idea quota used to be like Niagra Falls—I'd have many more than I could use. Now it's as though someone had damned up the water and was letting it flow with an eyedropper." The investor's version of writer's block.

Not to worry, Buffett went on to become one of the richest people in the United States by taking aggressive stock positions in companies like Coca-Cola, Geico, and the Washington Post Company. One firm he came to control virtually by accident was Berkshire Hathaway, Inc. It was a down-and-out textile company when he ran across it in 1962. Its stock was trading below $8, but he realized it had $16.50 per share of working capital alone. The rest is history. One of the key elements that goes into Buffett's analysis is the company's past performance and managerial competence, which he discusses in *Track Record Is Everything*. To make his point, Buffett indulges in a smattering of both serious and hilarious anecdotes that include allusions to Albert Einstein, Saint Peter, and the Kentucky Derby.